

Auto Financing Strategy

SteerCo #3

21st July 2025



The 10 key messages from this project

- 1 **The auto finance retail¹ market** is projected to **grow** at **~10% CAGR** from 2024 to 2030, reaching **210€M**, with a shift towards leasing that will account for **40-50%** of **total RAR**
- 2 **Eurobank is experiencing a ~10pp drop in market share** from 2021 to 2024, especially in used cars, a trend likely to continue without decisive action
- 3 **Dealers' interviews** reveal that **competitors offer better terms and B2B financing** to grow retail SoW, but confirm willingness to have ERB as main partner if more competitive
- 4 To defend and potentially expand its market share, the **vision** for Eurobank should be to **establish itself as the #1 "captive" bank for independent dealers**
- 5 There is a **potential growth** opportunity of **35-45M€** in **additional RAR**, allowing Eurobank to reach **55-65M€ RAR by 2030** (~30% market share)
- 6 Eurobank should **first focus on fighting back competition**, increasing competitiveness on used car financing and redesigning B2B offering, **before future-proofing its business** by expanding into new segments (i.e., leasing) and channels (i.e., digital)
- 7 To fight back competition, **pivotal shifts** would be required: i) developing **repossession capabilities**; ii) **adapting** bank's car **risk appetite** and reflect it in credit policies.
- 8 **Repossession is the key enabler to adapt credit rules**, as the ability to collateralize the vehicle offsets the higher risk, allowing Eurobank to regain volumes in used car
- 9 To **future proof** its business, Eurobank should **enter the leasing market organically** by setting up a dedicated unit, given the **lack of viable targets**
- 10 The overall transformation could generate **+25-35M€ PBT in 2030** (x3 vs. today), with **~4-6M€ in IT investments**

1. End consumer market, including both Individual and SME

Objectives of the meeting

- **Present overall business case**, including opex, capex, and ROI analysis
- Align on the **strategic narrative** for **used car segment**, with focus on **repossession** business case
- Present **decision made** on **C2C and B2C journey design** for **Car.gr**
- Agree on **next steps**

What we have built with your teams in 8 weeks

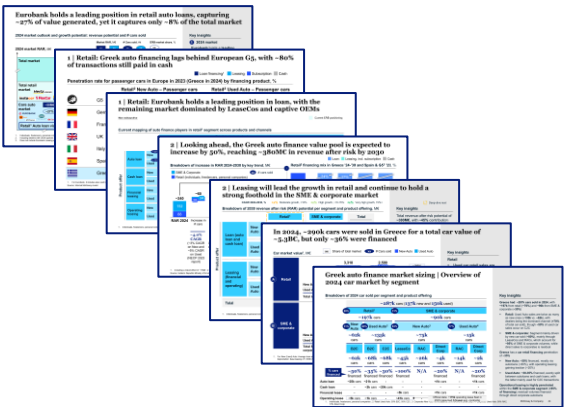
Focus of today



Greek market sizing and assessment of growth potential

Assessed Greek end-consumer and B2B market, competitive landscape and growth potential

Estimated the financing mix in the Greek market by 2030 and identified main growth pockets per segment, product and channel

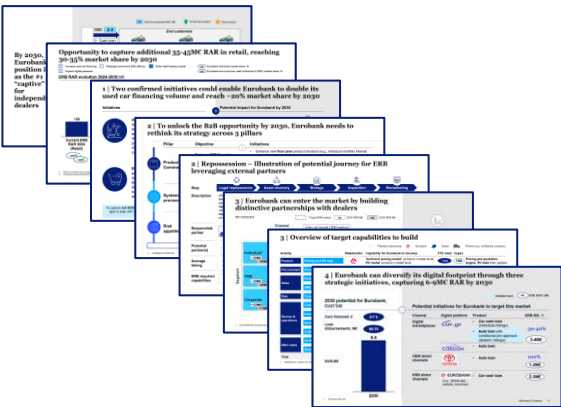


Strategy definition and assessment of “where to play” and “how to win”

Identified value creation opportunities, concrete initiatives and key operating model shifts (cross-enablers)

Detailed technical and operational capabilities required

Assessed development strategy (e.g., internal development vs. partnership) on key initiatives

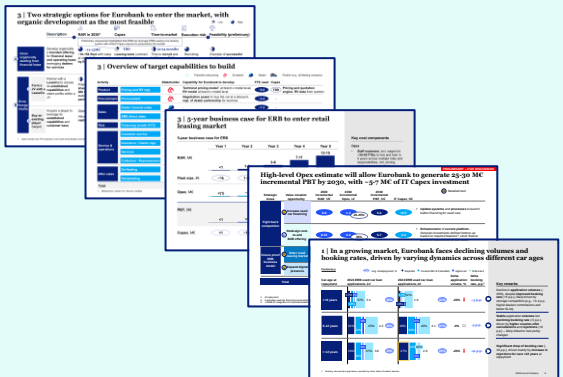


Business cases, including RAR, Opex, Profit before tax and Capex

Developed detailed business case with RAR estimation

Assessed Capex and Opex requirements for each value creation opportunity

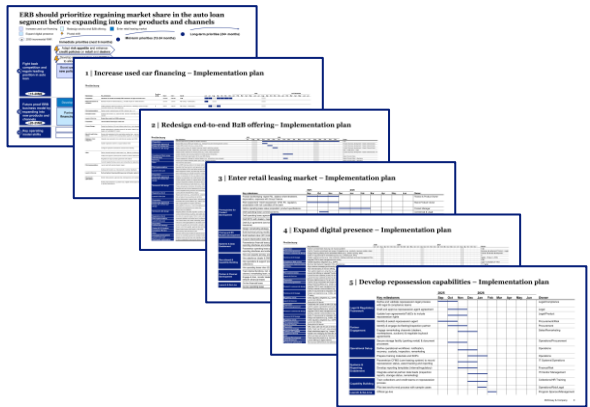
Derived 5-year return on investment for each value creation opportunity



2030 roadmap incl. definition of strategic moves for ERB and detailed implementation plans

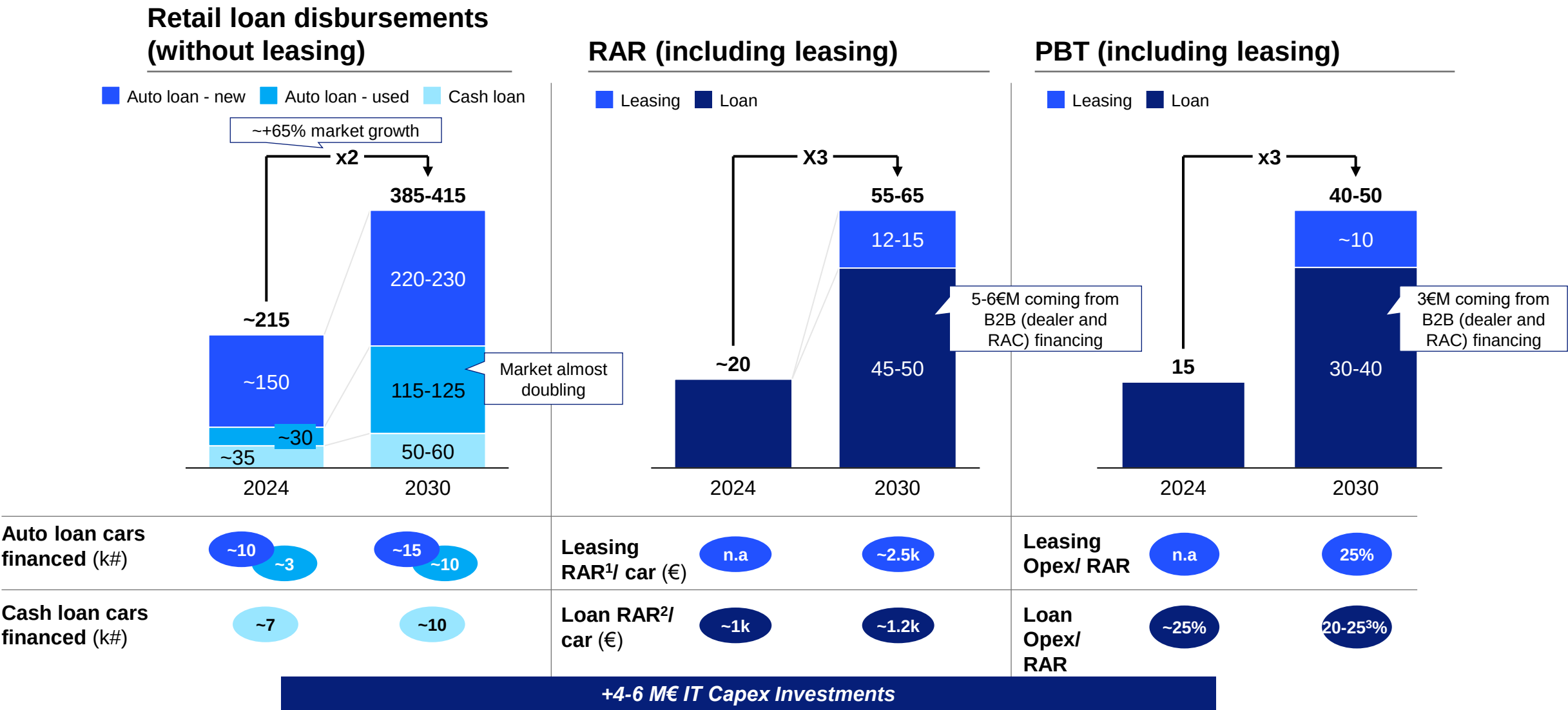
Developed 2030 roadmap and sequencing of initiatives across two strategic moves: fight-back competition, future proof ERB positioning

Developed detailed implementation plans for each value creation opportunity – *To be validated by initiatives owner and key stakeholders*



The overall transformation could generate +€25-35M PBT in 2030

Eurobank financials evolution, 2024-30 (€M)



1. Weighted average of financial and operating leasing
2. Weighted average of new auto loan, used auto loan and cash loan
3. Not including B2B financing

Business case per value creation opportunities

xx Detailed next

		2030 incremental RAR, M€		2030 incremental Opex ³ , k€		2030 incremental PBT, M€		IT Capex, M€		xx Detailed next	
Strategic move	Value creation opportunity										
Fight back competition	1 Increase used car financing		6-8	1-2	20-25%	5-6	<0.5				• Update systems and processes to launch ballon financing for used cars
	2 Redesign end-to-end B2B offering	B2B	5-6	2-3	40-50%	~3	2-3			• Enhancement of current platform - floorplan investments defined bottom-up based on required features ² ; stock finance and RAC assumed at similar levels, considering internal platform development	
		Retail	3-4	1-2	20-25%	~2					
Future proof ERB business model	3 Enter retail leasing market		12-15	3-4	~25%	9-11	~1			• Parametrization of operating lease module within ERB Leasing's existing core leasing system – Estimation made bottom-up with Eurobank leasing	
	4 Expand digital presence		4-6 ¹	~1	~15-20%	3-5	1-1.5			• ~0.4 M€ investment per digital platform (e.g., Toyota, Cardom, Car.gr) – Bottom-up estimation based on previous IT estimates	
Total			35-45	8-12	25-30%	25-35	4-6				
		Include 5€M organic growth on Retail new auto loan and cash loan		20-25% without including B2B financing		Include 4€M organic growth on Retail new auto loan and cash loan					

1. Includes 0.5-1 M€ of commissions to digital platforms (e.g., Car.gr)

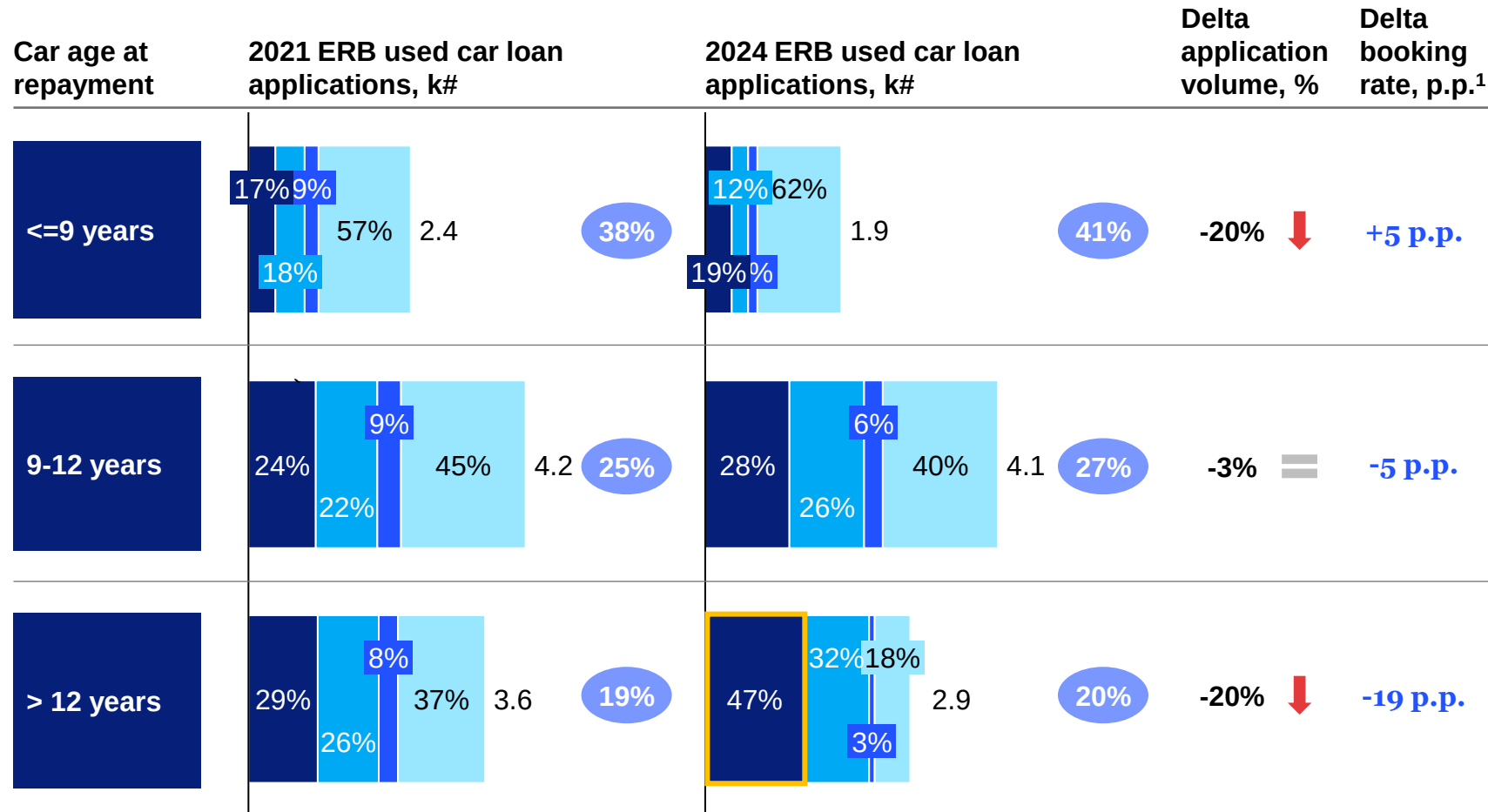
2. ~500k€ for integration to corporate dealers, interest-free period, digital credit notice; ~500k for integration into Dealers' management systems (e.g., for inventory tracking)

3. Opex estimated starting from current incidence of opex/RAR on autofinance business

1 | In a growing market, Eurobank faces declining volumes and booking rates, driven by varying dynamics across different car ages

Preliminary

xx Avg. downpayment, % Rejected Counteroffer & Cancelled Approved Disbursed



Key remarks

Decline in **application volumes** (-20%), despite **improved booking rate** (+5 p.p.), likely driven by stronger competition (e.g., +3-4 p.p. higher dealers commissions and better SLAs)

Stable application volumes but **declining booking rate** (-5 p.p.), driven by **higher counter-offer cancellations** and **rejections** (+8 p.p.) – likely linked to new policy changes

Significant drop of booking rate (-19 p.p.), driven mainly by **increase in rejections** for cars >12 years at repayment

1. Booking rate excludes applications cancelled by client, before Eurobank decision

1 | Six initiatives can be implemented to boost application volumes and improve booking rates for used cars

Non-exhaustive

Detailed next

Lever

Boost application volumes



Enhance booking rate



Potential initiatives

Target cars (age at repayment)

<9 years

>9 years

a Link retail used car financing with dealer stock financing with wholesale terms tied to retail disbursements



b Enhance SLAs (e.g., 1st response within 1-hour, real-time pre-approvals) to reduce applicant drop-off



c Launch ballon financing with no downpayment and lower rates vs. auto loans to increase affordability and appeal



d Evaluate review of dealers' commission model to drive higher application volumes for "younger cars"



e Review ERB risk appetite and rules of rejections, considering the trade-off between business growth and the potential impact on the Cost of Risk



f Leverage advanced analytics to identify ERB customers in "high conviction" zone for direct approval recommendations and potentially extend also to non-ERB customers

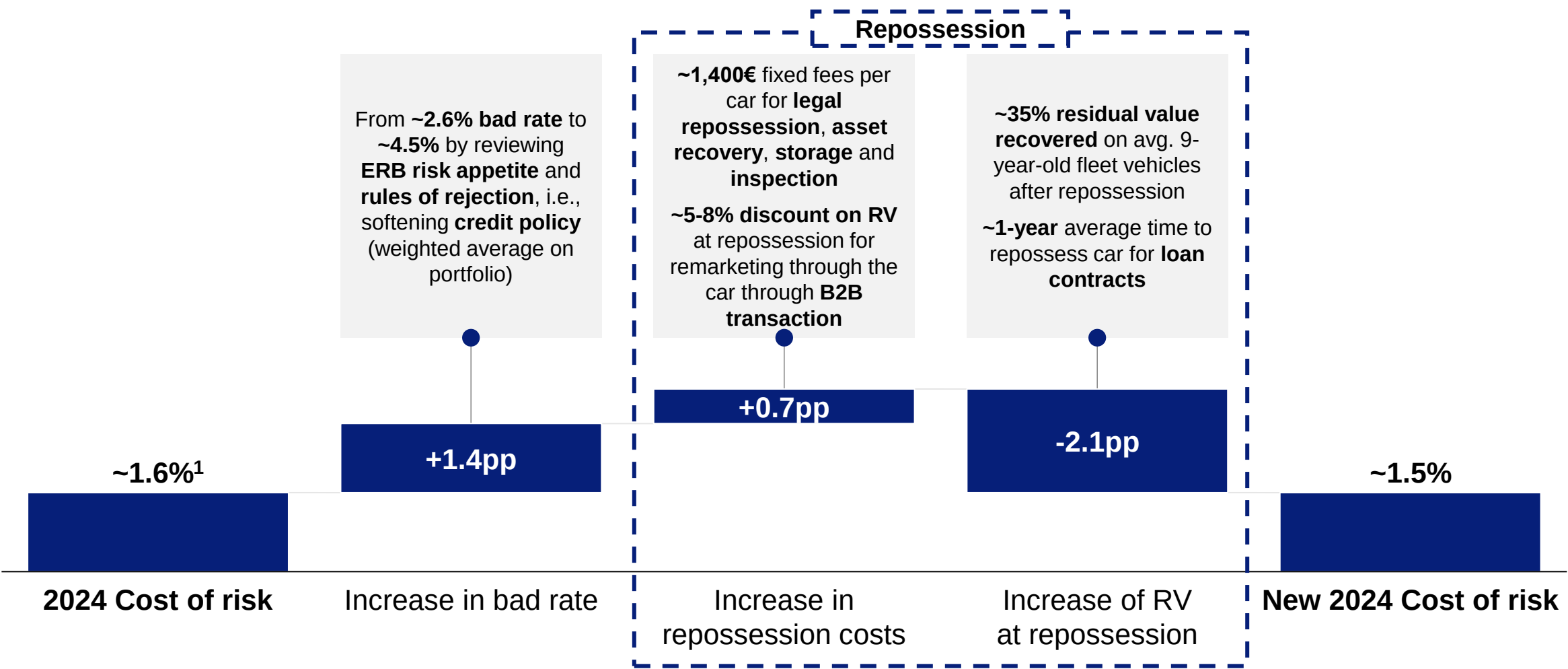


Establish repossession capabilities to allow loan collateralization and mitigate risk

Evaluate further **review of credit policy** with no mandatory downpayment based on car age

1 | Repossession is the key enabler to adapt credit rules, as the ability to collateralize the vehicle offsets the higher risk

Evolution of 2024 cost of risk for used cars, %



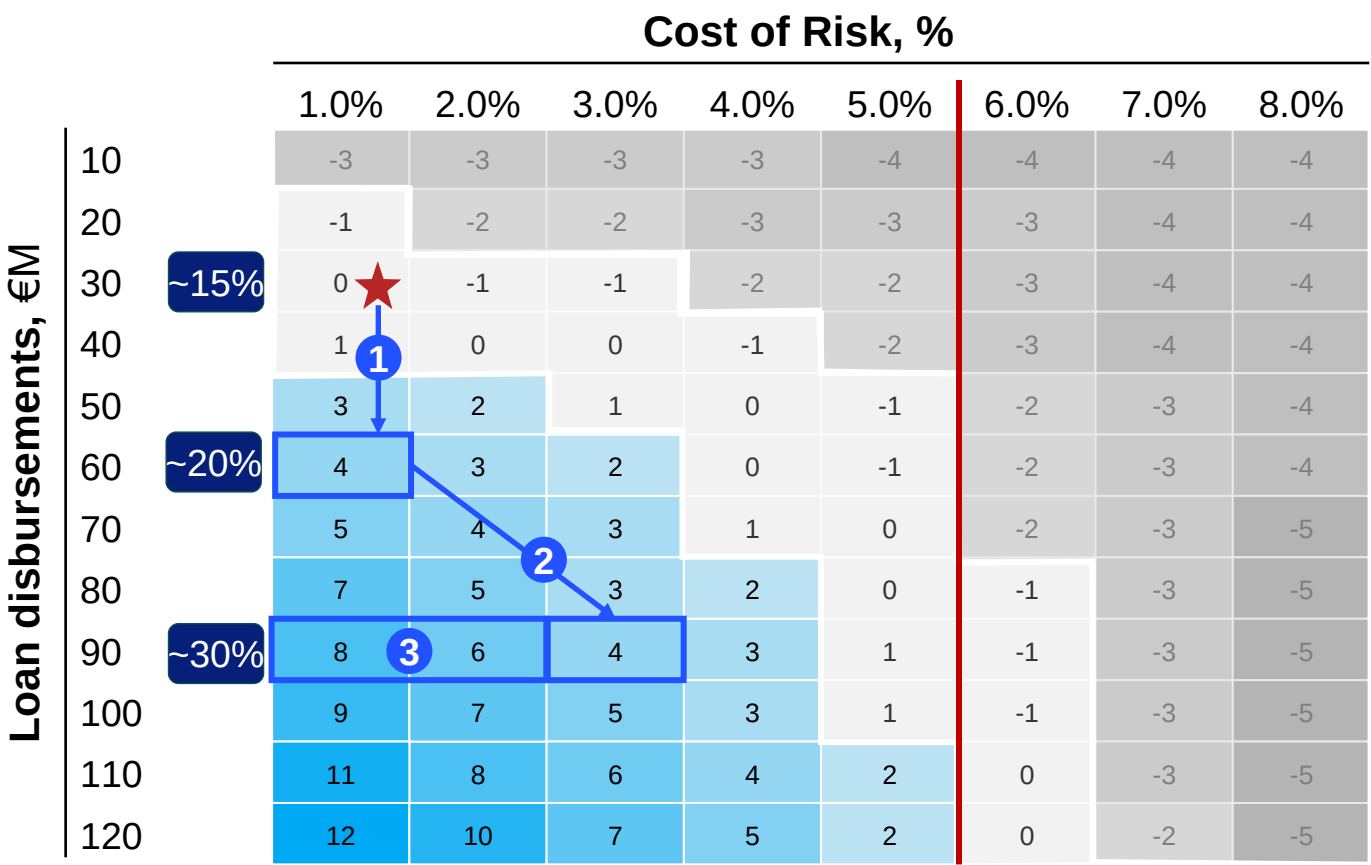
+2-3€M additional RAR in 2030 due to repossession, assuming ~30% residual value recovered for used cars, and ~50% for new cars

1. Cost of risk on 2023 loan disbursements for used cars with average vintage of 18 months

1 | +6-8 €M RAR thanks to enhanced booking rate and repossession capabilities

2024-30 incremental¹ RAR evolution, €M

 Strategic growth
 Neutral return
 Value erosion
 xx EBR MS,%
 ★ ERB current position (2024)



CoR would need to **increase 5x** for the **incremental business growth** to become unprofitable for Eurobank

Eurobank 2024-30 journey

1

Introducing **AA models** to ERB customers and launching **balloon financing**

Booking rate, %

45%

2

Reviewing ERB risk appetite to **reduce rejections** to ~20% and achieve **30% MS**

~60%

3

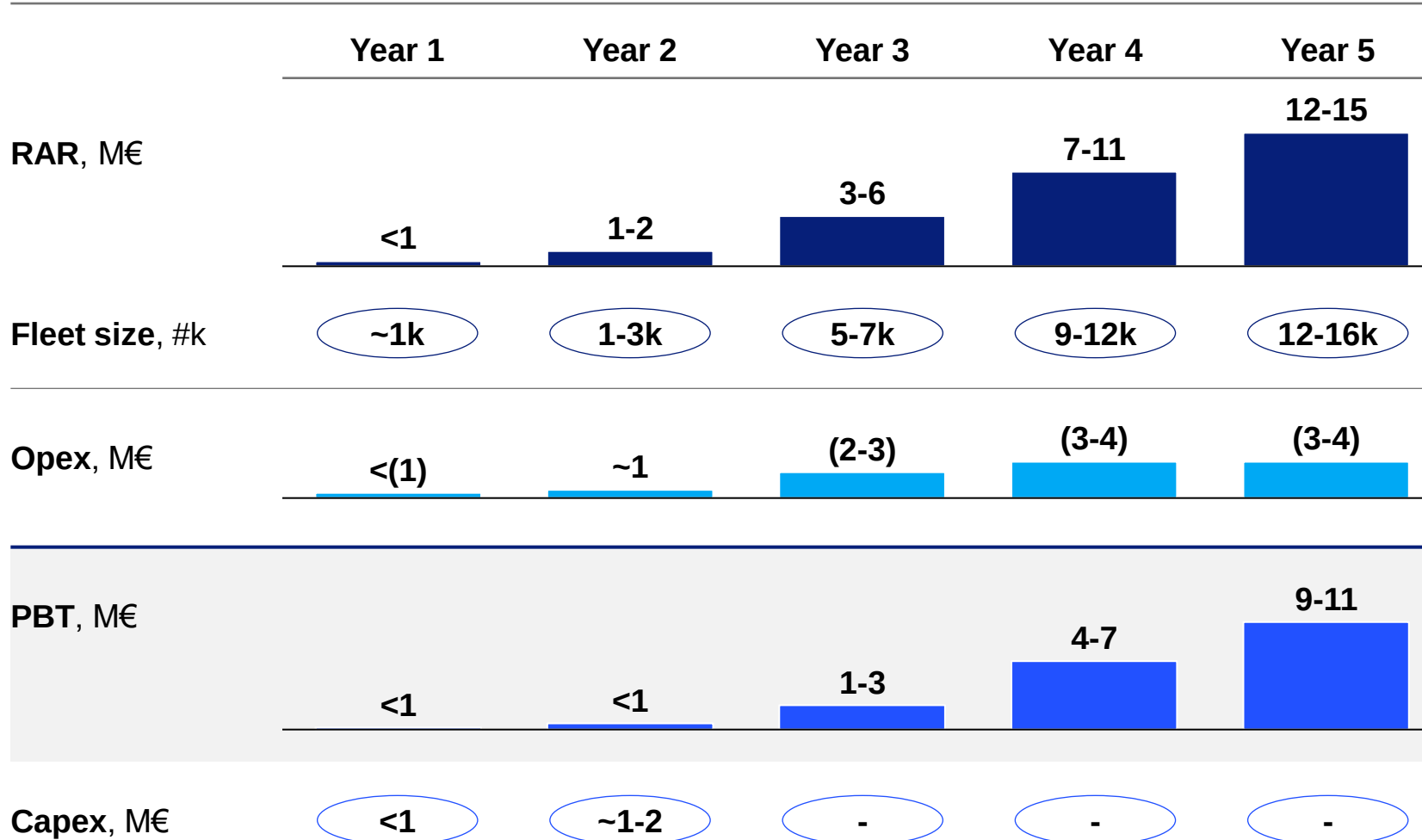
Establishing **repossession capabilities** to mitigate risk, while capturing **30% MS**

~60%

1. Incremental vs. ~4 M€ RAR generated in 2024 in the used car business, corresponding to ~30 M€ disbursements and ~3000 cars financed

3 | 5-year business case for ERB to enter retail leasing market

5-year business case for ERB



Key cost components

Opex

- **Staff expenses**, incl. wages for ~35-45 FTEs to hire and train in 5 years across multiple roles and responsibilities, incl. pricing, procurement, salesforce, customer service, remarketing
- **G&A expenses**, incl. pre-negotiated fixed fees with partners, legal fees for contracts
- **D&A expenses**, incl. amortization of software used for lease management

Capex (light to start)

- Purchase of **depreciation data from quoters** to integrate in pricing and RV modules
- Parametrization of an **operating lease module** within Eurobank Leasing's **existing core leasing system (CFMS)** – *interface already in place with the bank*

4 | Expand digital presence | Deep-dive on Car.gr customer journeys for Eurobank

Preliminary

Platform	Channel	Product	Customer journey	Outcomes	Pricing
	C2C (i.e., individual listings)	Cash loan	E2E digital: leveraging current Eurobank digital cash loan underwriting process, after customer redirection from Car.gr	Approval, counter-offer or rejection (no difference vs. current cash loan underwriting process)	Differentiated based on customer profile , with preferential rates for ERB customers, starting from PB product pricing level
	B2C (i.e., dealers' listings)	A Auto loan, with pre-approval	Hybrid: starting on Car.gr, followed by digital “full credit underwriting” on Eurobank (i.e., customer authenticated on Gov.gr for automatic retrieve of personal and financial data; downpayment and asset data prefilled via APIs) and finalization at the physical dealership	• Pre-approval (>80% of customers): - full pre-approval (i.e., customers meeting full credit underwriting requirements) - conditional pre-approval (i.e., remaining customers not flagged as “blacklisted”) • Hard rejections (i.e., “black-listed” customers)	Tailored to dealer's commercial terms
		B Auto loan	E2E digital: starting on Car.gr, followed by fully digital credit underwriting on Eurobank	Approval, counter-offer or rejection (no different vs. current auto loan underwriting process)	Tailored to dealer's commercial terms

Immediate next steps

- **Confirm capex estimates** leveraging on external vendors quotes and **refine opex breakdown** by cost category (e.g., personnel, G&A, other)
- **Define clear ownership** for each initiative and **validate detailed implementation roadmaps**
- **Align strategy with key Bank stakeholders** (i.e., Credit Risk Group and Corporate Division)
- **Kick off implementation**, prioritizing quick wins such as the launch of balloon financing for used cars

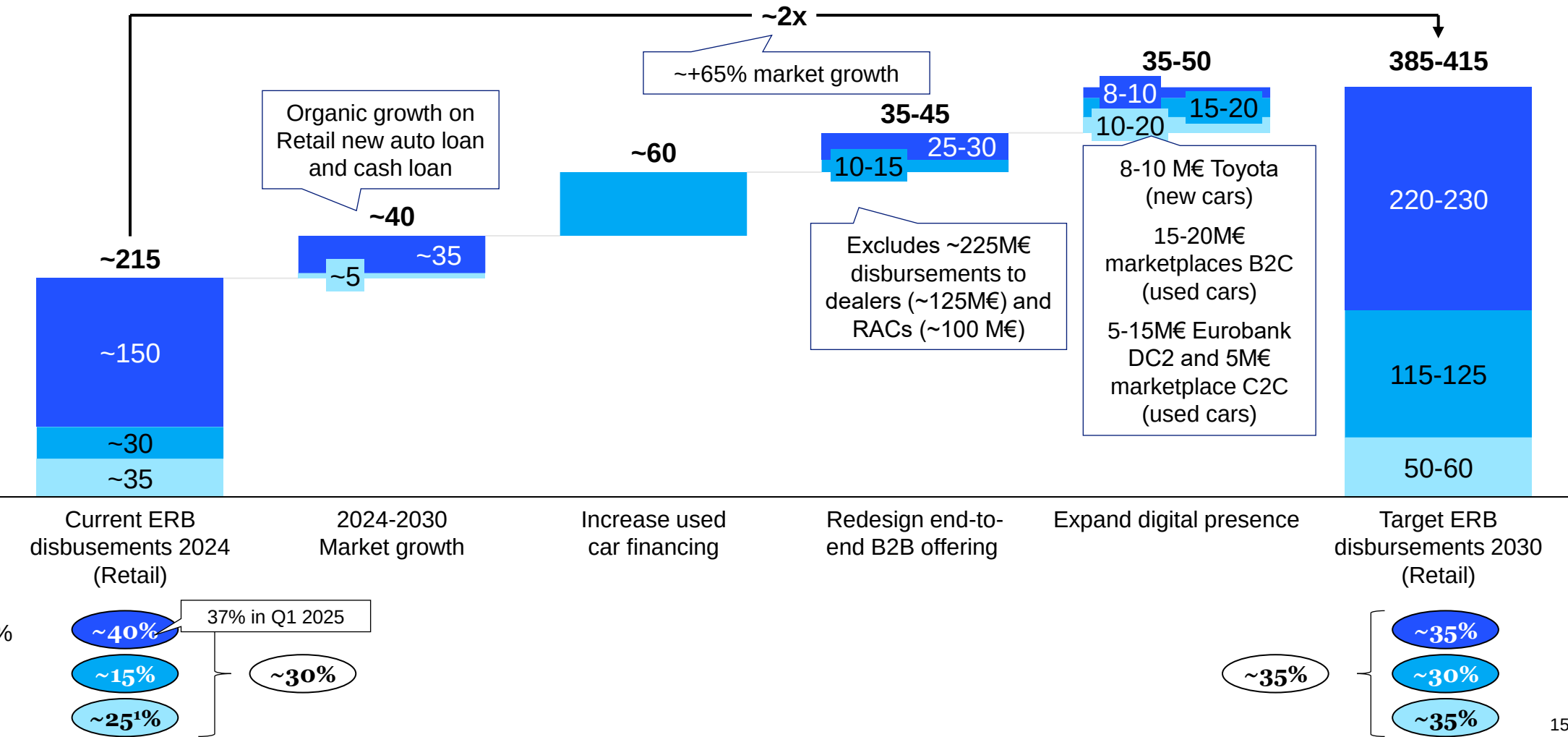
Back-up

Deep dive on ERB retail loan disbursements evolution

ERB retail loan disbursements evolution 2024-2030, M€

xx Eurobank market share, %

Auto loan - new Auto loan - used Cash loan

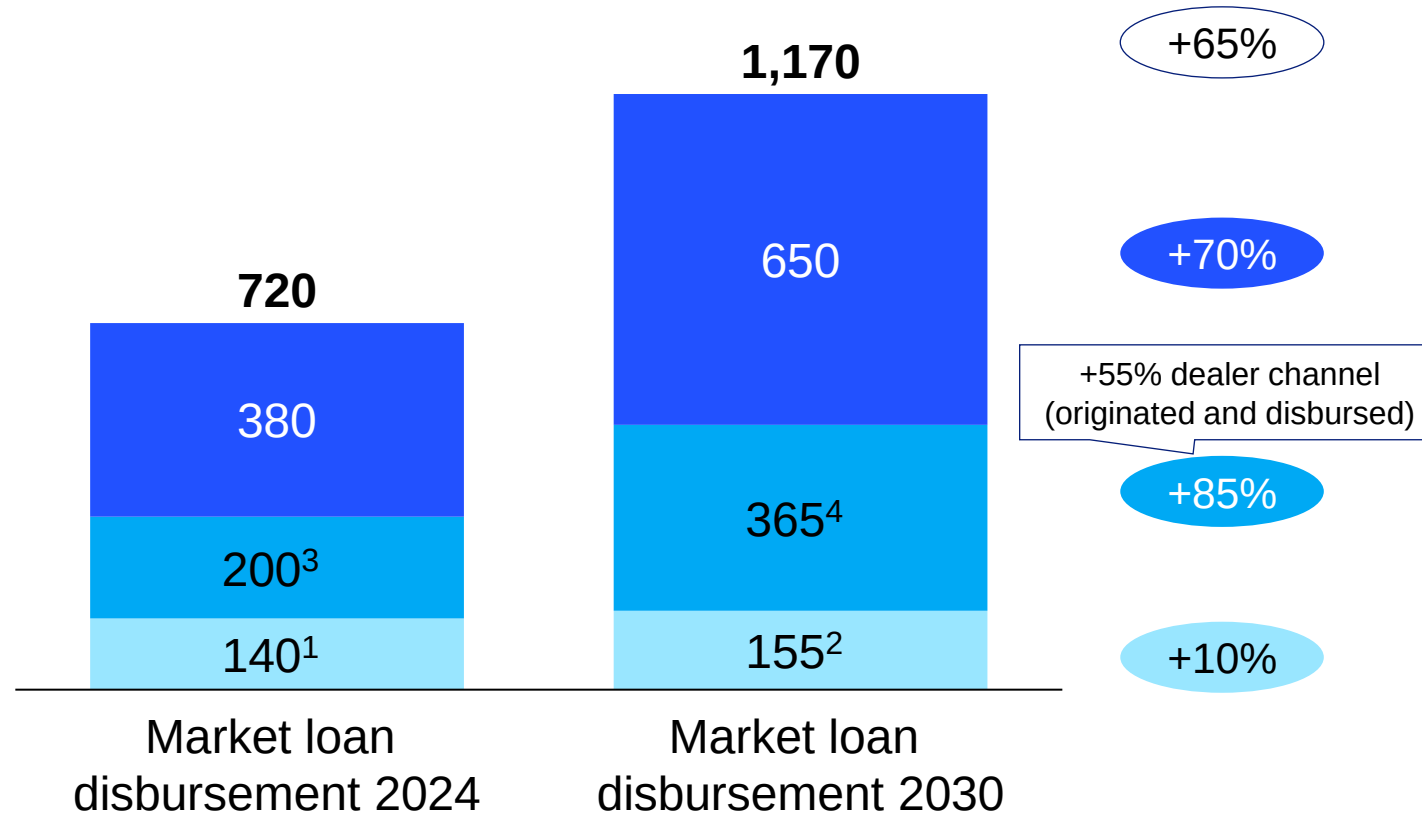


1. 30% on D2C (120€M market), but no presence in digital marketplace, accounting for 20€M loan disbursement

Recap on market retail loan disbursements evolution

Market retail loan disbursements evolution 2024-2030, M€

■ Auto loan - new ■ Auto loan - used ■ Cash loan ○ xx Delta, %

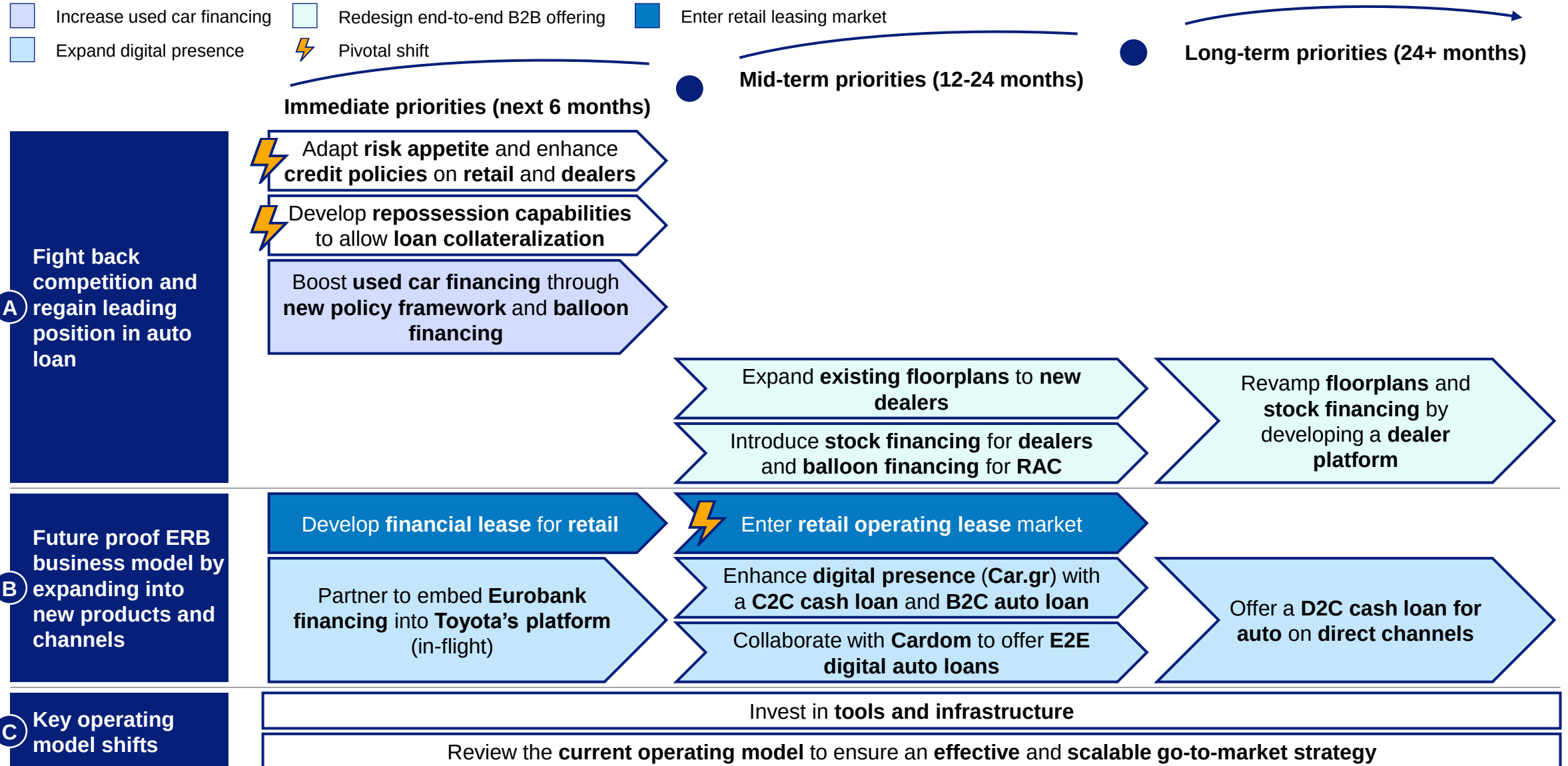


1. 120 €M D2C on Bank's website and 20€M on digital marketplace
2. 140 €M D2C on Bank's website and 15€M on digital marketplace
3. all via dealers
4. 310€M via dealers and 55€ via digital marketplace

Key market growth assumptions discussed in Steerco #1

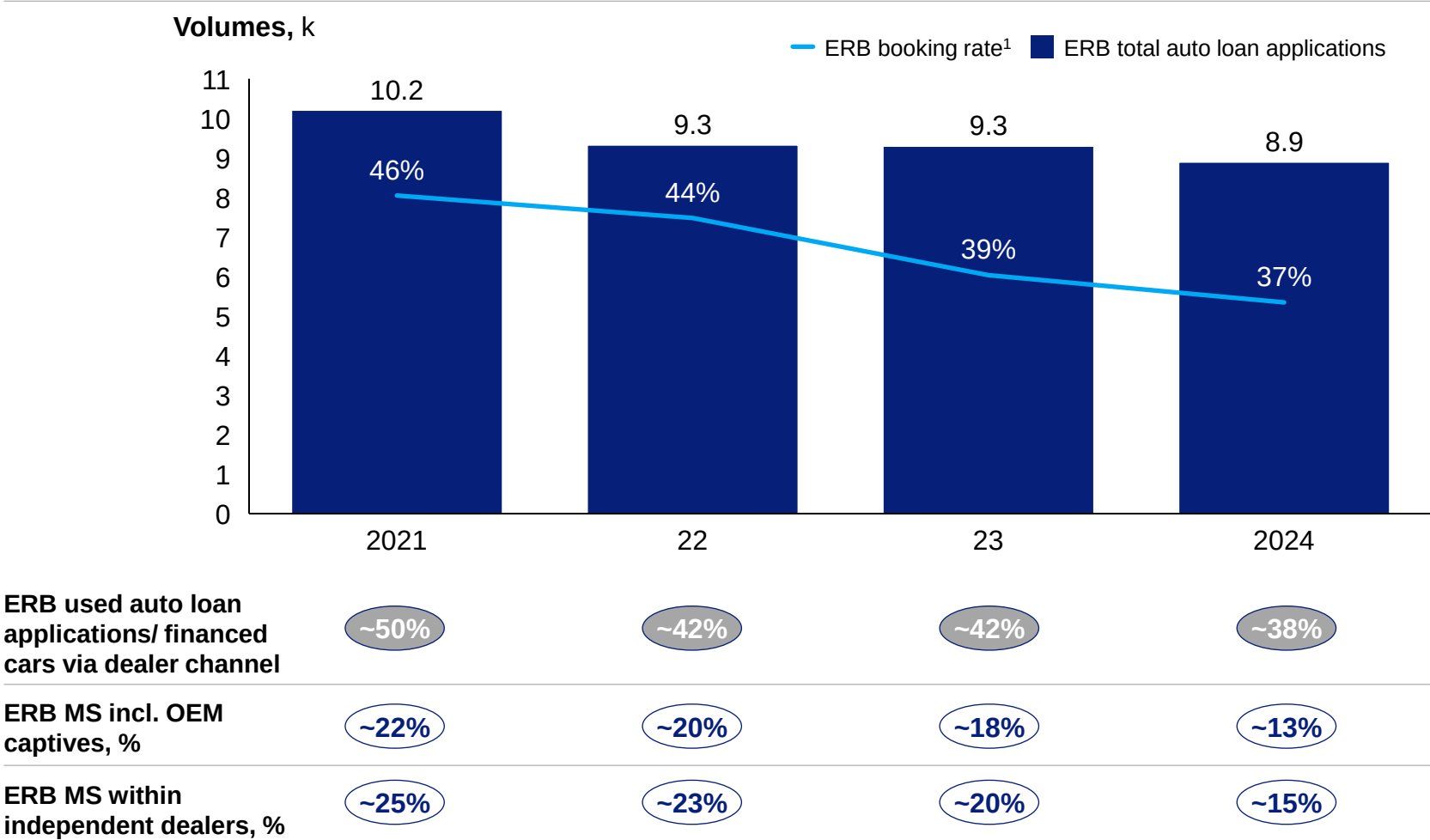
- **~4.0% CAGR on cars sold** (~3% CAGR on New and ~5% CAGR on Used) - *NECP 2023*
- **~2.0% p.a. inflation rate** on car value - *IMF data April 2025*
- **+1pp p.a. financing penetration** to partially align with Spain's financing mix

ERB should prioritize regaining market share in the auto loan segment before expanding into new products and channels



1 | In a growing market, Eurobank experienced a decline in auto loan applications and booking rate, leading to ~10pp drop in MS

Evolution of Eurobank used auto loan applications (k#) and booking rate (%)



Potential drivers of ERB market share decline

- Intensified competition, from both systemic banks and specialized auto financing players
- Decrease in booking rate, leading to:
 - lower incoming application volumes due to reduced approval competitiveness
 - reduced auto loan disbursements

+15% growth in used car sales from 2021 to 2024

1. Booking rate calculated as: Applications disbursed/ Total incoming applications

Source: Team analysis

1 | Eurobank is falling behind competitors on commission financing and SLAs

Preliminary

Less competitive terms

Commercial terms	 EUROBANK	 NATIONAL BANK OF GREECE	 ALPHA BANK	 ΤΡΑΠΕΖΑ ΠΕΙΡΑΙΩΣ	 Santander
IR + (levy 0,6%)	10.90% 11.90%	11.00% 12.00%	10.90% 11.90%	11.00 % 12.00 %	11.90% 12.90 %
Duration (months)	12-72	12-72	12-72	12-84	24-84
Commission on financing	4.00% 6.50%	7.51% 9.22%	8.00% 10.00%	7.10 % 8.20 %	7.00 % 8.00 %
SLA (1 st response)	3 Hours	1 Hour	1 Hour	1 Hour	1 Hour

Santander offers pre-approvals within 20 minutes

Key remarks

- Eurobank currently faces **competitive challenges** in used car financing, specifically in the following areas:
- **Dealers' commission rates:** less attractive vs. competitors
 - **Service level agreement:** slower initial response time (3 h) compared to market standards (1 h)

Outside-in analysis informed by Eurobank annual negotiation discussions with dealers

1. Notes: All products follow an equal installments scheme

1 | To further strengthen its position in used car financing, Eurobank can launch balloon financing targeting this segment

Preliminary



Key changes vs. current offer

Key guidelines on balloon financing evolution

- Extension of **balloon financing** to **used cars**
- **No down payment required**, aligning with established practices in other markets
- **Revised credit policy** (e.g., **vehicle as collateral** via dealers' **buy-back agreements**, customer **DTI excl. balloon payment**)

Key characteristics

Current offering	
Target cars	New cars
Downpayment	Minimum 15%
Dealer coverage	Toyota and Mercedes Benz dealers
End-of-term options	• Balloon repayment • Refinancing • Return the car via the dealer buy-back agreement
Credit policy	• Car buyback agreement not recognized as collateral • Customer DTI assessed based on full car value
Pricing	Similar to auto loans (e.g., ~8% + 0.6% interest for new cars)

Potential target offering

- ★ New and used cars
- ★ No downpayment
- ★ Potentially extend to additional dealers
- Same options maintained, also for used cars
- ★ Car considered as collateral via dealer buyback agreement
- ★ Customer DTI assessed excluding balloon payment
- ★ Lower than auto loans, leveraging dealer-backed collateral to reduce CoR

Expected value drivers

- Impact expected on loans where **car age plus loan term is below 9 years**, supported by dealer buy-back agreements
- **Key value drivers** include:
 - **decrease in rejections**, driven by lower monthly installments that improve DTI ratios
 - **Higher number of financing applications**, enabled by the removal of down payment requirements

1 | Approach and output for repossession business case

Approach

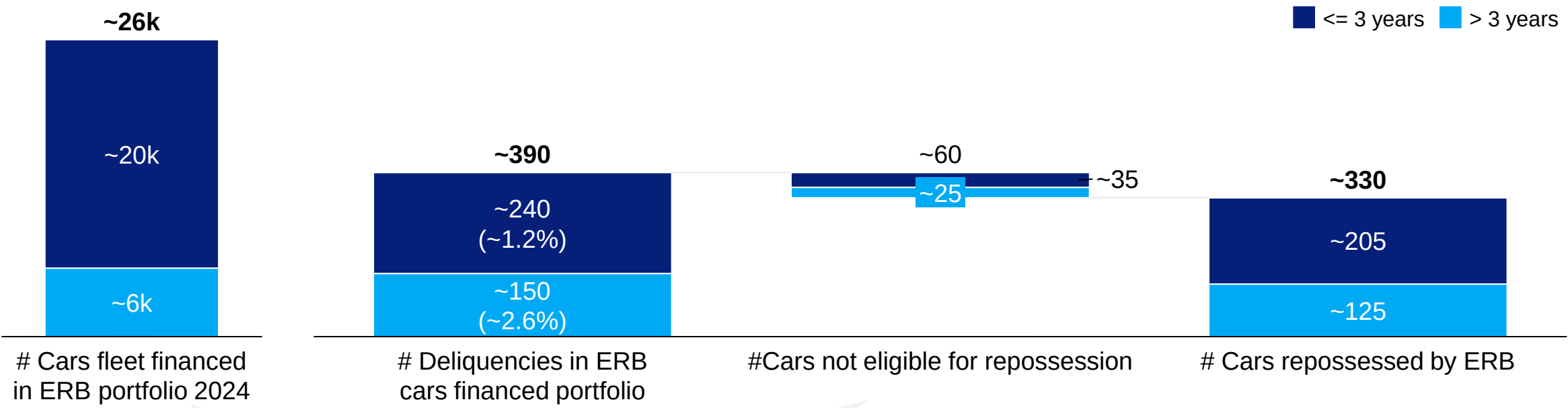
- i.** Estimate **expected number of delinquencies** in **ERB cars financed portfolio** in **2030** (i.e., **bad rates**) and **expected number of cars repossessed** by ERB
- ii.** Define **repossession costs** for **each product** (i.e., **loan, leasing**) based on:
 - **Fixed fees** for **legal repossession, asset recovery, storage and inspection**
 - **Variable fees** for **remarketing** the car through **dealer or marketplace**
- iii.** Estimate **RV ratio at repossession** based on:
 - **Forecasted depreciation vs. market price**
 - **Time at default and time to repossess**
 - **Repossession costs and repossession penetration**
- iv.** Derive the **new cost of risk** incorporating **RV ratio at repossession** and **cost of repossession**

Output

RAR growth on auto loan and leasing, driven by improved cost of risk for new cars and used cars

1i | Number of expected delinquencies and number of cars repossessed by ERB

Overview of cars financed in ERB portfolio in 2024 (loan portfolio), #



Considering an average default time of 2 years after contract initiation and 2 years of fleet that can default

Heavily damaged and very old used cars, typically >12 years old at contract repayment

1. RV ratio is defined as RV at repossession divided by car initial market price

1iii | Repossession costs incurred by ERB in journey leveraging external partners

Step	 Legal repossession	 Asset recovery	 Storage	 Inspection	 Remarketing
Description	After default notices are issued, lender gains legal right to repossess the vehicle and repossession agents proceed with recovery	Vehicle is located , secured and retrieved , and then transported to the storage facility preferred by the lender	Vehicle custody is documented (e.g., condition, date of arrival) and is stored in a gated, monitored area within storage facility	Vehicle goes through inspection (incl. interior, exterior, engine, tires) for wear, damage, missing parts and market value is estimated by inspector	Vehicle is prepared for remarketing (e.g., cleaning, minor repairs) and routed to dealership network or marketplace for resale
Cost incurred by ERB	~200-350€ per car for leasing (~1,000€ for loan) ▼ Leasing ~50-150€: bailiff fee to send extra-judicial notice to client ~100-150€: administrative fee to issue embezzlement ~50€: fee to waive embezzlement upon recovery Loan ~1,000€: expected cost for court hearing	~150-300€ per car ▼ Fixed fee pre-negotiated with repossession agent depending on car location (e.g., within or outside Attica)	~50-70€ per car ▼ ~20k-25k€: typical price range for renting an outdoor lot within Attica with fencing and surveillance for ~50-70 cars, assuming cars are stored for ~60-90 days	~150-200€ per car ▼ Fixed fee pre-negotiated with de-fleeting company depending for inspection and market value estimation	~2-8% of resale value ▼ ~2% through marketplace resale ~8% through dealer network resale (B2B)
FTE requirements	~ 1FTE for PMO	~ 0.5FTEs for SLA steering	-	-	~ 0.5FTEs for building remarketing strategy

1iii | RV ratio at repossession, incl. repossession costs and time to repossess

Car type	Car age at repayment	Product	Repossession penetration	Time at default	Time to repossess	Time of repossession	RV ratio, incl. repossession costs
New cars	<= 4	Loan	85%	Year 2	~10 months	Year 3	~52%
New cars	<= 4	Leasing	100%	Year 2	~3 months	Year 2	~73%
Used cars	<=9	Loan	85%	Year 5	~10 months	Year 6	~37%
Used cars	<=9	Leasing	100%	Year 5	~3 months	Year 5	~52%
Used cars	9-12	Loan	85%	Year 8	~10 months	Year 9	~27%
Used cars	>12	Loan	80%	Year 11	~10 months	Year 12	~19%

Considering an average car market value of ~30,000€ and an average default time of 2 years after contract initiation

1iv | New cost of risk with repossession

	New Auto		Used Auto	
	Without repossession	With repossession	Without repossession	With repossession
LGD ¹	~67%	~67%	~62%	~62%
RV at repossession, incl. costs	-	~50%	-	~30%
Bad rate	~1.2%	~1.2%	~2.5%	~2.5%
CoR (including deterioration bad rate)	~80bps	~20bps	~3.0%	~1,5%
				
CoR = (LGD (%) - RV (%)) × Bad rate				

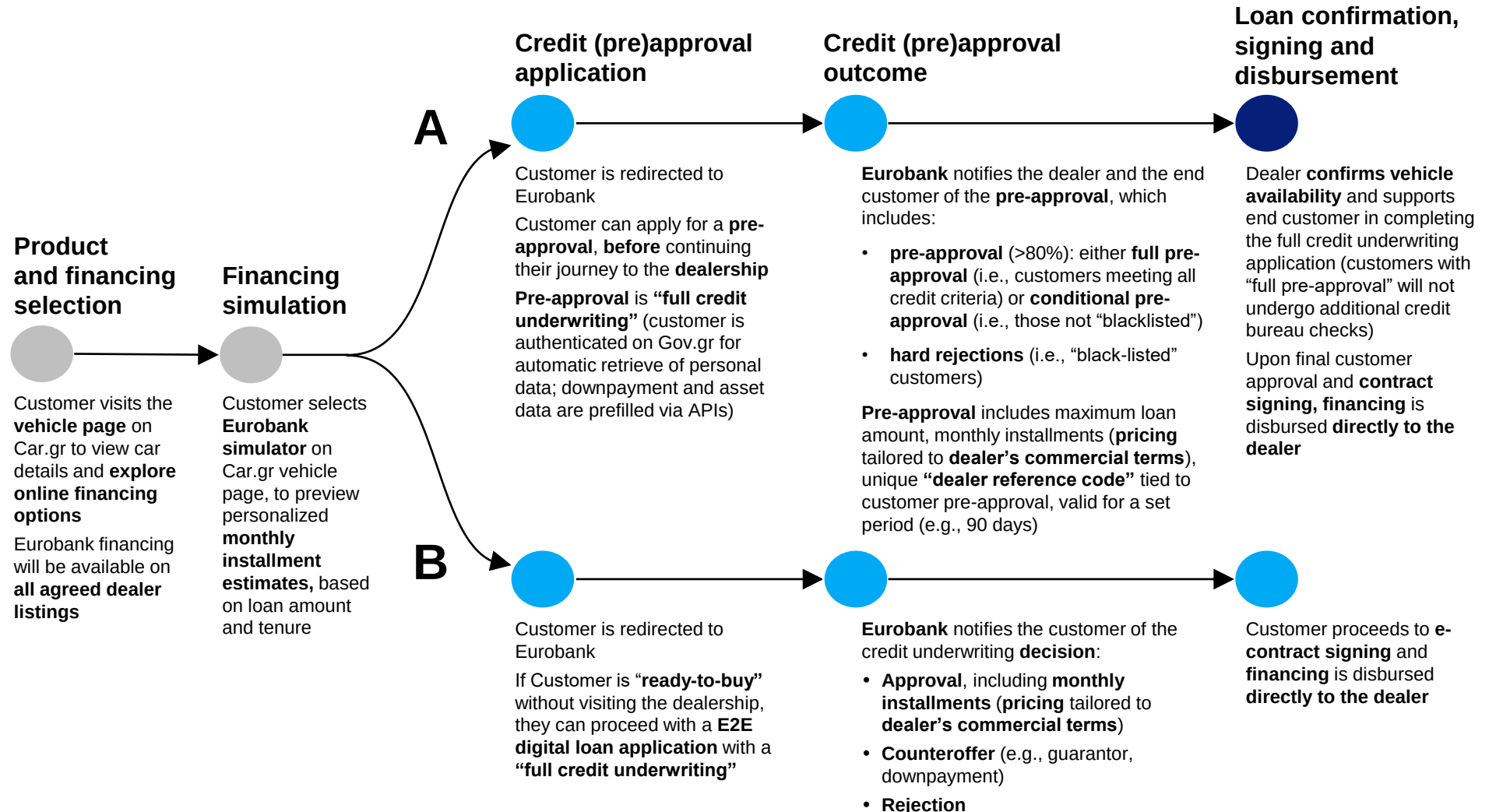
4 | High-level B2C customer journey for Eurobank on Car.gr

Preliminary

● Online step on Car.gr ● Online step on Eurobank ● Physical step at dealership

Key principles of Car.gr B2C journey

- Drive lead generation for partner dealers (e.g., >80% pre-approvals)
- Restrict dealer referrals to customers with “black-file” status only
- For ready-to-buy customers, offer E2E digital auto loan option (via customer journey B)



Preliminary – subject to the agreement on **exclusive partnerships** with dealers on **Car.gr**